

valuable. By 1634 'Tulip Mania', as it was called, had truly swept through the country.

It felt like the price of tulips could only go higher, and many people were making a pretty penny from buying and selling the flowers. The bubble became obvious when people started taking loans to buy tulips, as they were so confident that prices were only going higher and higher. Charles Mackay wrote in his book *Extraordinary Popular Delusions and the Madness of Crowds* that at one point 12 acres of land were offered for a single tulip bulb.

When accounting for inflation, tulips were selling for the equivalent of US\$50 000 to as high as US\$700 000 in today's market. It was madness. And of course, like all speculative bubbles, it eventually burst.

In three years' time many, unfortunately, found themselves holding stock of tulips that people were no longer interested in. It was a definite moment in the market, demonstrating how humans behave during a bubble, and it still holds as a reminder of how human behaviour can change when lured by the possibility of making a quick return.

When markets begin to rise unexpectedly in current times, you may notice people will start to reference Tulip Mania as a warning of a possible bubble forming again.

Bubbles are usually formed when people stop seeing the intrinsic value of a company or stock and instead get overwhelmed by the fear of missing out. It's a common phenomenon that will continue to occur in the market, but the investor in training is aware that when greed seeps in, the fundamentals of investing are often pushed to the side.

While the Amsterdam Stock Exchange was growing strong in the 1600s (and it's still the oldest surviving stock exchange in the world), many others were beginning to form in the busiest cities around the world.

Stock exchanges = stock market? Not quite

A stock exchange is a location where stocks or shares are exchanged, i.e. bought and sold. There are many stock exchanges around the world, many in the most prominent cities of large countries. In fact, there are 60